



idea and defined your value proposition, you form a team and approach incubators—preferably ones that match your domain (agri-tech, health-tech, fintech). The early phase is like pregnancy—delicate and full of care. When customers start paying for your solution, you are reaching the ‘product-market fit’ stage. Your baby is now born into the world, and it has a challenging life to live.

From product-market fit, you move toward business model fit, like childhood, adolescence, to adulthood. Initially, the entrepreneur drives everything, but as the

sources are the 3 Fs: friends, family, and fools—and you risk losing them if the startup fails. As I said, deep tech’s success rate is very low; let’s say, about 1 in 400. Only government grants through incubators are available to support such high-risk, fetal ideas, based on their potential impact on social benefit in India. A practical alternative approach is to attempt to solve the technology problem as a PhD scholar (academic research) and then commercialise the results through appropriate research commercialisation (e.g., with the help of a technology business incubator).

from a smaller part of the portfolio helps the VCs recover their invested capital and provide decent returns to the investors in its fund. VCs invest and monitor/review the portfolio startups, but do not manage actively—they stay minority shareholders.

Private equity firms come in later stages of a venture’s life, between thriving and maturity and after. They invest larger amounts and may take control, especially if a company is underperforming. They help scale or turn businesses around, sometimes replacing members of the management.

Raising capital is a journey. From idea to business model fit, it is challenging. Investors look for big returns because safer options like mutual funds or lending offer good returns at a lower risk. Ultimately, most investors make an emotional decision based on the confidence they have developed in the entrepreneur by observing evidence. Investors are human partners in your venture with an asymmetric relationship. Understand this before you approach investors. Starting a product business is like making a movie—you do not know if it will be a hit. You must invest, build, and wait for customer response. That is the entrepreneurial game.

Selling technology, product versus selling service: choosing a business model

One must begin early to develop a business model. If you are inventing something, you should first invest personally in it. The government offers grants—particularly in India—so use them. Protect your idea appropriately. A good patent attorney will know how to reduce costs.

Patenting is not as expensive as many believe, especially in the context of the business potential. This is a myth, largely due to a lack

VENTURE CAPITALISTS LOOK FOR STARTUPS THAT CAN GROW 10X OR MORE IN ECONOMIC VALUE. OUT OF 10 INVESTMENTS, THEY EXPECT MOST TO FAIL, ONLY ONE OR TWO SUCCEED TO CREATE CAPITAL APPRECIATION. BUT THEY DO NOT MANAGE THE COMPANY, BUT STAY MINORITY SHAREHOLDERS.

business matures, a team is needed to run it. I call this flipping the management—from entrepreneur-led to systems (and teams)-led. This is a very challenging phase for most entrepreneurs who aspire to build rapidly scalable ventures.

Eventually, disruption happens. Someone will offer a better solution to the problem you are solving today, like app cabs disrupting the taxi model. This entire journey, from idea to thriving business, typically takes five years, with an additional two to three years to reach maturity. Some products die faster than others, like Nokia feature phones, depending on how easily customers can switch to the new disrupting solution (smartphones in this case).

Funding your startup in its early stages can be challenging. The only

From startups to achieving product-market fit, angel investors can provide assistance. These are wealthy individuals willing to take a risk on promising ideas. Post-product-market fit, you can approach venture capitalists (VCs), but only if your business has the evidence to show the potential for rapid growth and economic value creation.

For example, VCs seek startups that can grow ten times or more in economic value. Out of ten investments, they expect all to show the promise to grow 10x. Most would fail due to the inherent risk of execution, but let’s say one or two succeed to create capital appreciation. Recently, IIT Madras incubator saw substantial return, according to media reports, on its Ather Energy investment. Such outlier success